

NHPC Ltd

Investment Rating : Excellent

Company Overview

Website	http://www.nhpcindia.com/
Sector	nan
Market Cap	1,740,404.25 Cr
PE Ratio	71.17
PB Ratio	13.74
Dividend Yield	1.68 %

Financial Quality

ROE	9.61
ROCE	7.67
CFO Quality	High Quality
FCF CAGR	-3.98%
Capital Pattern	Excellent

Capital Allocation

Capital Score	100.0
Reinvestment	Growth Focused
Debt Trend	Increasing Debt
Leverage	Moderate

Business Overview

NHPC, a Mini Ratna category I public sector utility, is Government of India's flagship hydroelectric generation company. The company is primarily involved in the generation and sale of bulk power to various Power Utilities. Its other business includes providing project management / construction contracts/ consultancy assignment services and trading of power.

Strengths

Strong free cash flow generation over 5 years signals healthy business fundamentals.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

Rising debt over the past 3 years suggests increasing financial leverage risk.
Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.

Net debt exceeding three times operating profit indicates elevated financial leverage.
Revenue growing below 5% over five years suggests limited business momentum.